EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Santa Teresita was formerly known as barrio Namunit, the largest barrio of the Municipality of Buguey. It is located about 15 kilometers east of its mother town. It was created by virtue of Republic Act (RA) No. 3728, which was approved on June 22, 1963. It was inaugurated on August 27, 1963 as a regular Municipality. It has thirteen (13) barangays, with a total population of 16,578 and total household of 3,410. Its land area is approximately 16,698.93 hectares of plain, mountains and swampy lands rich with natural resources.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Santa Teresita, Cagayan for CY 2025 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSAS), and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance, and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial position and financial performance of the Municipality of Santa Teresita, Cagayan for the year ended December 31, 2025, with comparative figures for CY 2024, are as follows:

Particulars	2025	2024	Increase/(Decrease)
			Amount
Financial Position			
Assets	428,598,617.36	379,817,749.35	48,780,868.01
Liabilities	65,245,751.57	77,774,674.14	(12,528,922.57)
Govt. Equity	363,352,865.79	302,043,075.21	61,309,790.58
Financial Performance			
Income	217,347,074.80	161,432,408.92	55,914,665.88
Expense	158,613,620.15	139,111,351.43	19,502,268.72
Net Income	58,733,454.65	22,321,057.49	36,412,397.16

D. Operational Highlights

The major accomplishments of the Municipality for CY 2025, in terms of implementation of programs, projects and activities, are as follows:

Name of Program/ Project/ Activity	Amount
Construction of facilities at Juan De Salcedo landmark	₱999,536.31
Establishment of Children's Park	1,498,990.10
Upgrading of road going to Timmore	1,580,207.79
Upgrading of Level II to Level III Water Supply System	13,321,292.00
Construction of Barangay Health Station	2,497,311.48
Total	**₱19,897,337.68**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Santa Teresita, Cagayan for the year-ended December 31, 2025 due to: (a) non-conduct of physical count of inventory of Property, Plant and Equipment (PPE) totaling to ₱278,086,081.57; (b) unreliable Cash in Bank-Local Currency, Current Account totaling to ₱127,247,985.72; and (c) misclassification in recording of PPE accounts amounting to ₱18,347,792.06, hence, affecting the fair presentation of the Municipality's financial statements.

F. Summary of Significant Audit Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Procurement of petroleum fuel, oil and lubricants totaling ₱3,973,146.10 were paid to a single supplier without any contract, contrary to the specific guidelines provided for Direct Retail Purchase of Petroleum Fuel, Oil and Lubricant products. Hence, there is no legally binding obligation between the Municipality and the Supplier as the terms and conditions to be undertaken by both parties are not well defined.

   We recommended that the Management follow the specific guidelines provided for Direct Retail Purchase of petroleum fuels, oils and lubricants in Section 53.14 and Annex H of the 2016 Revised Implementing Rules and Regulations of Republic Act No. 9184 and Section 35.13.3 of the Implementing Rules and Regulations of Republic Act No. 12009, specifically the execution of contract/agreement between the Municipality and the supplier to warrant any damage/loss.

2. Out of the fifty-eight (58) priority development projects under the 20% Development Fund (DF) of the Municipality, fourteen (14) projects totaling

₱5,278,280.30 were not implemented as at year-end, thus, optimal utilization of the fund for desired socio-economic development and environmental outcomes were not attained and timely benefits therefrom were not received by the intended beneficiaries.

We recommended that the Management fast-track the implementation of the current year and continuing development projects, in order to avoid accumulation of unimplemented projects, and to ensure the optimal utilization of the 20% development fund in the ensuing year, pursuant to the provisions of DBM-DOF-DILG Joint Memorandum Circular No. 1 dated November 4, 2020, for the benefit of the constituents of the Municipality.

3. The Trust Liabilities – Disaster Risk Reduction Management Fund (DRRMF) account cannot be relied upon due to discrepancies noted between the FS, Subsidiary Ledger and the submitted reports, thereby, the account may not be fairly presented in the Financial Statements.

   We recommended that the Management:

   a. Direct the Municipal Accountant and Municipal Budget Officer to reconcile the noted discrepancies and make the necessary adjusting entries;

   b. Conduct monthly and quarterly reconciliation of the LDRRMF records and reports to ensure accuracy of the submitted reports;

   c. Immediately transfer the cash representing the unexpended/unobligated balance for CY 2025: and

   d. Ensure that all future cash representing the unexpended/unobligated balance of the QRF and DRRMF – MOOE are transferred to the Special Trust Fund in a timely manner in order to provide funds for Disaster Risk Reduction and Management activities.

G. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Disallowances					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

H. Status of Implementation of Prior Year's Audit Recommendations

Out of the twenty six (26) audit recommendations in the CY 2024 Annual Audit Report, seventeen (17) were fully implemented and nine (9) were not implemented.